

3. MERGER ARBITRAGE

Public company A announces it is to buy public company B for \$15 a share. Prior to the announcement, B was trading at \$10 a share; immediately after the announcement, B goes to \$14 a share. If an investor buys B at \$14 and holds the stock until the deal closes, then the \$1 spread can be captured for a tidy profit in a few months. However, there is always some risk that the deal does not close. In that case, B's stock price might head back down to \$10 (or lower). Unlike other forms of arbitrage discussed earlier, this is not risk free. It is sometimes called risk arbitrage.

There are well-documented statistics on percentages of announced mergers that never close, don't get government approval, don't get shareholder approval, or the like. If you understand the business and these dynamics, you can handicap the odds of the deal closing and decide to place a bet (or not) accordingly.

4. DHANDHO ARBITRAGE

Virtually all startups engage in Dhandho arbitrage. An example of this is presented in Chapter 5. Our barber set up shop in Town C and had a 17-mile arbitrage between him and the next barber. Over time, this 17-mile distance likely was reduced to a few blocks and the arbitrage mostly disappeared. However, while it lasted, he had super-normal profits. He got these profits by taking very little risk. It was low risk and high uncertainty that got him his bounty. The barber is a classic Dhandho arbitrageur. Heads, he wins; tails, he doesn't lose much!

The overwhelming majority of entrepreneurs are not risk takers. They are Dhandho arbitrage players. One of the most vivid examples of these Dhandho arbitrage entrepreneurial journeys is the story of CompuLink, documented by Amar Bhidé in his wonderful book, *The Origin and Evolution of New Businesses*.¹ In 1984, CompuLink was founded by two 20-year-olds—Steve Shevlin and Robert Wilkin. Shevlin was the main